

MUTUAL FUNDS

There is no money box without mutual funds. There is a product for every situation and regulation that puts your interest first.

A long time ago, a child grew up in a house whose both parents were business journalists, and one of them specialized in personal finance. The kid grew up hearing terms like asset allocation, fiscal deficit, inflation and capital gains. So, in school they did this exercise, when she was about ten years old.

Imagine that you have Rs 5 lakhs. What will you do with it? Kids did what kids do – they bought dolls, cars, chocolate, Disneyland trips, ice-cream mountains, PlayStations. One kid made a business plan. Rs 3 lakhs for a dog kennel business, Rs 1 lakh in mutual funds, and Rs 1 lakh for two dogs and cats as pets for her.

The dog business will give her Rs 10 lakhs a year. This she would distribute among various family members, and part of it would get her even more pets. Yes, I do think we damaged our kid somewhere – I'm sure this is not normal.

So what are mutual funds? These are also stocks, right? No. They are not. They invest only in equity, right? No. They invest in many things; equity or shares is just one of the many things funds buy. They invest in bonds, gold and soon real estate. You can build your entire portfolio by buying mutual funds across these asset classes. And from within the asset class, you can build a diversified portfolio for all your short-, medium- and long-term needs.